

Al level economics

Basic Economics

Topic:- Types of economic systems.

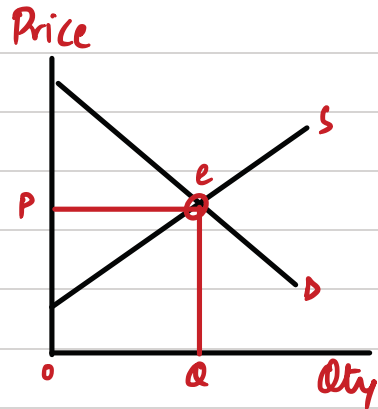


By:-

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Economic Systems

What? How? For whom?



capital vs Labour substitution
Quick decision making

wants satisfied
profit motive (self interest)
→ [unemployment]

Price mechanism leads to market failure

- Non-provision of public goods
- Under allocation of merit goods
- Over allocation of demerit goods
- Abnormal profits of monopoly

no price control
DT
Inflation

consumers
Demand = Supply

Price mechanism

* Markets

firms

[competition] → Merge → Inelastic demand

Innovation

choices

Quality

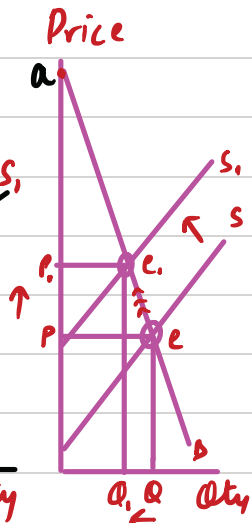
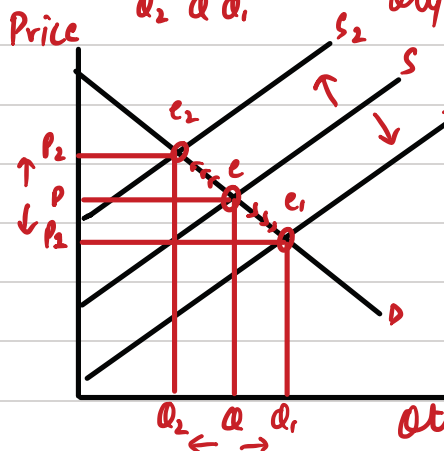
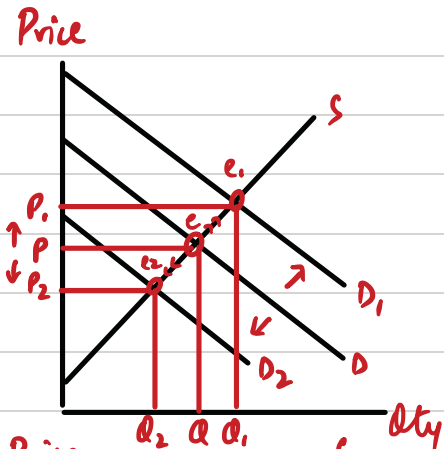
Standard of living

↓

$P \uparrow$ $QD \downarrow$ $TR \uparrow$

Abnormal

Profits!



Where prices are determined by forces of demand and supply and prices provide signal to the producer to allocate resources in profit maximizing manner!

Advantages :-

Resources are allocated through market forces and the operation of the price mechanism; there is therefore no need for state or government intervention in the economy, and the state can then concentrate on areas such as international diplomacy.

In a market economy, the key objective of producers is profit maximization and the profit motive can give an incentive to sellers; they will be encouraged to be more innovative and cost-effective than might otherwise have been the case.

If firms can be more cost effective in such an economy, this should lead to lower prices for consumers. Consumers would also be likely to benefit from more choice.

The market economy, based on the idea of free enterprise, will maximize both producer and consumer surplus.

Disadvantages :-

Some goods, called public goods, would not be provided in a market economy. Examples of these would include the provision of police and defence forces.

Some goods, called merit goods, would be under produced and under consumed in a market economy e.g. education and health care.

Some goods, called demerit goods, would be over produced and over consumed in a market economy. E.g. alcohol and tobacco.

There could be negative externalities in a market economy. E.g. noise and visual pollution.

Planned/Command economy!

- * Owned and controlled by government
- * Objective:- Social welfare
- * What! How? For whom?
- * Government provided those goods which government think that people need rather than what actually they wanted
- * Production targets were given
- * Quantity over Quality
- * Focus or resource allocation on the basis of needs
- * Distribution of goods were inefficient
- * Full employment was the aim
- * Consumers were dissatisfied due to limited choices
- * Delay in decision making

Mixed economy (Private and Public sector)

- * Non-provision of public goods - Sole control by government
- * Under allocation of merit goods - Subsidies, advertisement, State provision etc
- * Over allocation of demerit goods - Tax, advertisement, Ban etc
- * Abnormal profits of monopoly - Nationalize, regulations, Divide into perfect competition
- * Inflation - Maximum price
- * Unemployment - Public sector jobs

Planned economies :- This type of economic system is characterised by a very high level of state or government intervention in the economy. In theory, there will be no private sector involvement and everything will be controlled by the public sector. However in reality there are no countries in the world without some form of private sector involvement. North Korea is sometimes regarded as the country that comes nearest to this type of economic system.

Advantages :

The state or government controls all, or at least most, of the economic resources and so economic decisions can be taken in the interests of the whole society. For e.g. it might be the policy of such a government to bring about a more equitable distribution of income and wealth in the society.

The state or government can decide which goods are going to be produced and to whom they are going to be supplied. For e.g. it could decide to ban the production of products which it believes are against the public interest.

Prices are more likely to be kept under control and there is likely to be a lower rate of unemployment than in a market economy.

Disadvantages :

The economic system tends to be very bureaucratic because the government intervenes in so many areas. This can contribute to the system being very inflexible and unresponsive.

to changes in consumer demand.

There is less of an incentive for firms to be innovative. The profit motive is not as important as in a market economy and, as a result, the variety of goods on offer is often rather restricted and sometimes the products are of poor quality.

The majority of firms will be state owned and the lack of competition means that there is often a high level of inefficiency and low level of productivity.

Issues of transition

In a number of countries, there has been a move away from planned economies towards economies with a greater role for the market. This has particularly been the case in the former communist countries of Eastern Europe and it has also been a feature of economic developments in the People's Republic of China. The World Bank, an international organisation which aims to support developing economies, has encouraged such changes.

A transitional economy is one which is in the process of changing from a planned economy towards a more market focused economy, but there have been problems associated with this process of transition.

Inflation: Planned economies tended to keep prices relatively low, but when the economy is allowed a greater role for market forces, the state could no longer control prices in the way it previously did. One possible effect of this is that the rate of inflation in a transitional economy could be higher than that experienced in planned economy, although of course it is possible that the general level of prices in such an economy could fall, a situation known as deflation. Either way, a government will have less control than used to be the case in a planned economy.

Industrial unrest:- Trade unions have largely limited powers in a planned economy, but once state control was reduced, the trade unions demanded higher wages to match the increase in price and these demands were backed up by strike action. There is therefore the possibility of more working days being lost in a transitional economy than in a planned economy as a result of this industrial action.

International trade:- The various planned economies had been in a trading bloc, but as they move towards market economies they needed to establish new trading relationships with other countries. Transitional economies have a greater degree of freedom in terms of which countries they trade with, but this could possibly cause problems, such as an imbalance between exports and imports, leading to a deficit in the current account of the balance of payments.

Employment:- In many of the former planned economies, there have been changes in the employment structure, such as a move from the secondary to the tertiary sector. Many workers were able to move from one form of employment to another and so the

rate of unemployment in many of the countries increased significantly, leading to a fall in incomes. The rate of unemployment in planned economies tended to be very low, but the rate is likely to be much higher in a transitional economy.

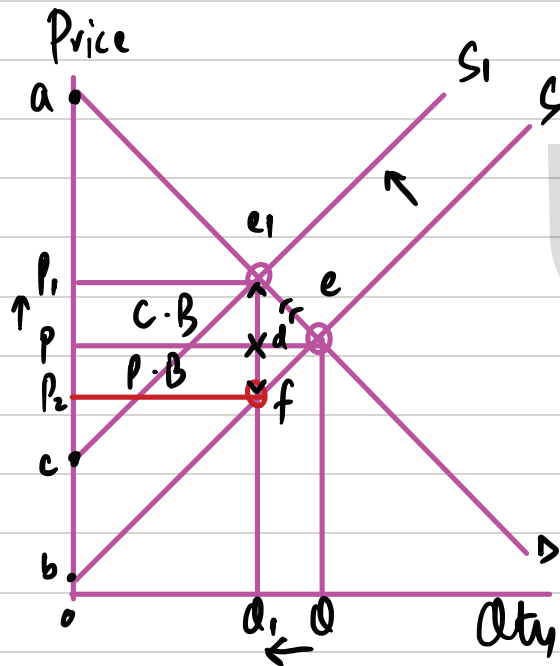
Output :- When the economies had a great deal of state intervention, many firms were supported by the government, but when a greater degree of market forces were introduced, a number of these firms were unable to survive. There was therefore a consequent fall in output. The level of output in a transitional economy will depend on the demand for the various products and so it is quite possible that a number of firms will fail to survive.

Reduction in welfare services :- The planned economies had generally had a good level of welfare provision, such as education, housing and health care, but as the economies moved towards a larger role for the market, some groups of people found that there was a fall in their quality of standard of living.

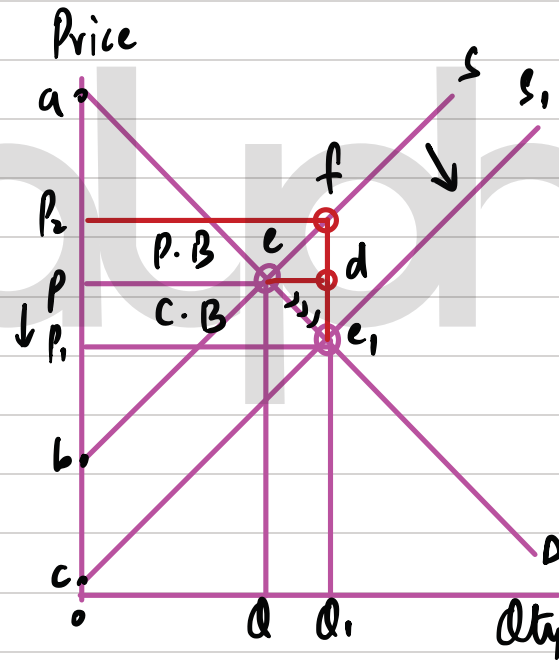
Markets :- When these countries had planned economies the vast majority of decisions were taken by the state. Once the role of the state was reduced, and greater market forces introduced, it was recognised that specialised markets and services needed to be significantly improved, such as banking and legal services. In many of the transitional economies, the quality of banking and legal services is still relatively poor.

Diagrams for Mixed economy

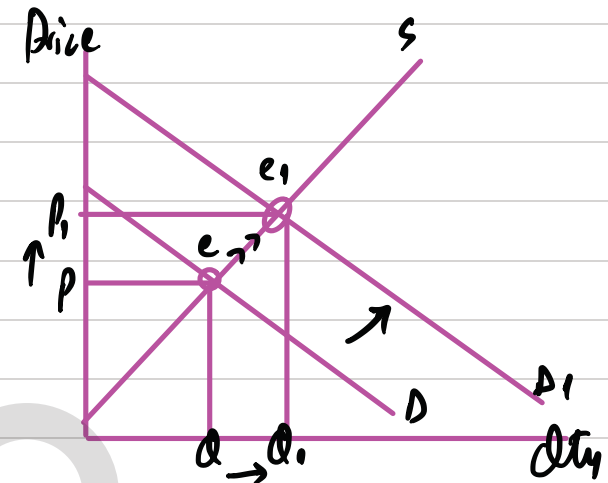
Indirect tax on demerit goods



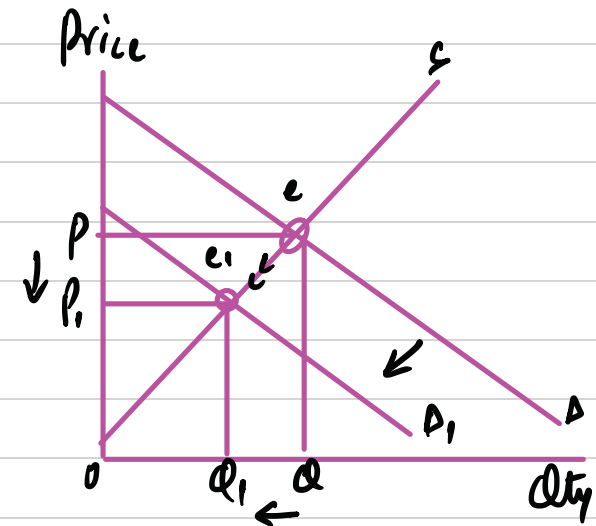
Subsidy on merit goods



Advertising → Merit goods



Advertising → Demerit goods



Questions

Q1 Explain advantages and disadvantages of market economy? 8

Q2 Explain advantages and disadvantages of planned economy? 8

Q3 Explain the features of mixed economy, use diagrams? 8

Q4 ^{2 Sided} Discuss ^{4 marks} whether market economy is ^{Conclusion (4 marks)} more beneficial to consumers than planned economy? 12
^{4 marks}

Ans:- 4 marks:- Benefits of market economy, use diagram of price mechanism

4 marks:- Benefits of planned economy

4 marks:- Disadvantages of both market and planned
Favour mixed economy!